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US equities tumble as rates rise, tech leads decline

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 slipped -1.09% to 7,659.44, driven by a broad tech sell-off and a jump in the 10-year Treasury yield to 5.10%. The VIX surged +21.45% to 19.99, underscoring heightened volatility ahead of the Fed’s policy outlook.

Energy rallied on lower crude, while defensive sectors (financials, utilities, consumer staples) posted modest gains, suggesting investors are rotating into safety as rate-sensitive growth names falter.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,659.44	-1.09%	Tech earnings disappointment and higher yields
Nasdaq 100	29,187.55	-2.50%	Semiconductor weakness, NVDA slide
Dow Jones	52,002.41	-0.34%	Financials mixed, industrials flat
Russell 2000	2,721.37	-1.66%	Small-cap exposure to rate hikes
VIX	19.99	+21.45%	Risk aversion after Fed minutes
10Y Yield	5.10%	+0.18%	Fed’s hawkish stance
WTI Crude	97.41	-3.94%	OPEC+ output increase expectations
Gold	4,197.50	+0.39%	Safe-haven demand
DXY	101.83	-0.01%	Dollar steadied after data
BTC	82,579.61	+1.47%	Crypto risk-on rebound
ETH	2,425.56	+1.07%	Continued crypto rally

Top large-cap movers

TICKER	CHANGE	CATALYST
JPM	+1.25%	Higher net interest income forecast
XLE	+2.52%	Crude dip but sector rotation to energy
XLP	+1.08%	Consumer staples demand
XLU	+1.34%	Utility defensive play
AVGO	-4.52%	Guidance cut, supply-chain concerns
META	-3.72%	Ad-revenue slowdown, AI spend uncertainty
NVDA	-1.43%	Inventory build, weaker demand outlook
MSFT	-1.93%	Cloud spending slowdown
AMZN	-1.87%	Margin pressure from logistics costs
GS	-1.12%	Bank-wide earnings miss

Sector rotation

ETF	DAY	READ
XLF	+0.45%	Financials benefit from higher rates
XLK	-3.02%	Tech under pressure
XLI	-0.08%	Industrial flat, watch CPI impact
XLE	+2.52%	Energy rotation despite lower crude
XLY	-0.84%	Consumer discretionary lagging
XLC	-1.89%	Communications hit by ad slowdown
XLP	+1.08%	Defensive staples gain
XLV	-0.27%	Health care neutral
XLU	+1.34%	Utilities attract risk-averse flow
XLB	+0.71%	Materials steady on commodity rebound
XLRE	+0.40%	Real estate modestly higher

Spotlight: Fed minutes and the 10-year yield

The Federal Reserve's post-meeting minutes signaled a continued "higher for longer" stance, with the median projection now at `5.25%` for year-end. The 10-year Treasury yield rose +0.18% to `5.10%`, its highest level since early 2024, compressing equity valuations.

METRIC	VALUE
10-yr Yield	5.10%
Fed Funds Target	5.25-5.50%
Projected Q4 Inflation (PCE)	2.6%
VIX	19.99
Equity Risk Premium	5.8%

Related names: **JPM** (benefits from rate spread), **AVGO** (sensitive to cap-ex financing), **XLF** (financial sector ETF).

Pre-market & overnight

- US futures: **-0.8%** S&P 500, **-2.2%** Nasdaq.
- Asia close: Hang Seng **-0.6%**, NIKKEI **-0.9%**.
- Europe: DAX **-0.7%**, FTSE **-0.5%**.
- Crypto: BTC **+1.47%**, ETH **+1.07%**.

Macro & Fed

FOMC minutes reaffirmed a “higher for longer” policy, with 75% of participants expecting at least one more 25-bp hike. The yield curve remains inverted, 2-year at 5.30% versus 10-year at 5.10%.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	U.S. CPI (MoM)	`0.3%`	Inflation trend for Fed rate path
03:00	U.S. Core CPI (YoY)	`2.6%`	Core price pressure gauge
04:15	U.S. Retail Sales	`0.4%`	Consumer spending health
05:00	U.S. Existing-home sales	`4.5 M`	Housing market momentum

Geopolitics & global

- Middle-East: Cease-fire talks in Gaza stalled, risk premium unchanged.
- China: PBOC kept reserve ratio steady; manufacturing PMI at 49.8, indicating contraction.
- Eurozone: German budget talks inching forward, but fiscal uncertainty remains.
- Energy: OPEC+ signaled possible output increase in Q4, pressuring crude.
- Trade: U.S.–EU data-privacy negotiations resumed, could affect tech valuations.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
02:00 Oct 21	**`AAPL`**	`$1.95`	iPhone demand, services growth
02:30 Oct 21	**`MSFT`**	`$2.30`	Azure usage, AI licensing
03:00 Oct 22	**`NVDA`**	`$2.20`	GPU inventory, AI spend
03:30 Oct 22	**`META`**	`$3.10`	Ad revenue rebound, AI ads
04:00 Oct 23	**`JPM`**	`$3.70`	Net interest income, loan growth
04:30 Oct 23	**`XOM`**	`$3.00`	Oil price exposure, capital spending

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
JPM	Financials	Rate-sensitive net interest margin expansion
XLF	Financials (ETF)	Yield curve steepening support
AVGO	Semiconductors	Inventory buildup, earnings miss risk
XLE	Energy (ETF)	Rotation into energy despite lower crude
XLP	Consumer Staples (ETF)	Defensive demand amid volatility
XLU	Utilities (ETF)	Yield-seeking flow
META	Communication Services	Ad spend recovery uncertainty
NVDA	Semiconductors	AI demand vs inventory risk
GS	Financials	Investment banking exposure to rate hikes
XLC	Communication Services (ETF)	Advertising weakness
XLY	Consumer Discretionary (ETF)	Spend sensitivity to rates
XLV	Health Care (ETF)	Stable earnings, watch biotech pipeline

What could break the tape

BEARISH TRIGGERS

- Unexpected acceleration in core CPI above 2.6% could prompt another rate hike.
- NVDA inventory surprise > 5 bn shares.
- Geopolitical escalation in the Middle East raising oil prices sharply.

BULLISH TRIGGERS

- Strong Q4 earnings from `AAPL` beating EPS by >5%.
- Fed signals pause on hikes in upcoming meeting.
- Energy prices rebound above `100` USD/barrel.

Positioning notes

- Rate-sensitive growth stocks remain under pressure; tilt toward financials and utilities.
- Defensive consumer staples and real estate ETFs are gaining net inflows as volatility spikes.
- Tech inventory levels are a key watch-list metric; monitor NVDA and AVGO closely.

Sources

SOURCES

Bloomberg Market Data – 10-yr Treasury, Index levels

Reuters – Fed minutes, macro releases

CNBC – Sector ETF performance

Yahoo Finance – Large-cap stock quotes

Investing.com – Commodity and crypto prices

U.S. Bureau of Labor Statistics – CPI schedule